

THE WALL STREET JOURNAL.

DOW JONES | News Corp ***** THURSDAY, MAY 28, 2026 ~ VOL. CCLXXXVII NO. 123 WSJ.com ★★★★★ \$5.00

DJIA 50644.28 ▲ 182.60 0.36% NASDAQ 26674.73 ▲ 0.1% STOXX 600 628.18 ▲ 0.03% 10-YR. TREAS. ▲ 3/32, yield 4.480% OIL \$88.68 ▼ \$5.21 GOLD \$4,447.50 ▼ \$52.90 EURO \$1.1626 YEN 159.51

What's News

Business & Finance

- ◆ **Some one million** prospective buyers have defected from the U.S. new-car market since the start of the decade and aren't expected to return soon. **A1**
- ◆ **Tesla sales in Europe** grew strongly in April as the electric-vehicle maker maintains momentum there after a slump that lasted more than a year. **B4**
- ◆ **Chip stocks were** among the names that helped lift the S&P 500 and Nasdaq to records, the indexes rising 0.02% and 0.1%, respectively, while the Dow gained 0.4%. **B1**
- ◆ **Investors underestimate** the degree of risk they face as a result of the conflict in the Middle East and rising government debts, the European Central Bank said. **A6**
- ◆ **France-based** nuclear-power developer Newcleo said it plans to go public through a merger with a blank-check company in a deal valuing it at about \$2.4 billion. **B1**
- ◆ **Ford's stock price** surged to its highest level in nearly three years after the company announced a new energy-storage subsidiary. **B1**
- ◆ **A Google software** engineer earned \$1.2 million by illegally trading contracts on Polymarket that allowed people to bet on who would be revealed as the most-searched people of 2025, prosecutors alleged. **B4**
- ◆ **CBS' '60 Minutes'** dropped a correspondent who had criticized how the network handled a segment on El Salvador's migrant prison. **B3**
- ◆ **Shareholder Bolloré** Group called on Universal Music to reject a \$65 billion bid from Bill Ackman's Pershing Square. **B4**

Worldwide

- ◆ **Israel killed Hamas's** military chief with a strike in Gaza less than two weeks after killing his predecessor as it works to cripple the group. **A7**
- ◆ **The Justice Department** is investigating E. Jean Carroll, who won a lawsuit against Trump on an accusation that he sexually assaulted her. **A4**
- ◆ **Paxton's victory** in Texas' Senate primary runoff pleased both Trump, whose grip on the GOP is tightened, and Democrats, who see him as vulnerable in a crucial race. **A1**
- ◆ **The U.S. carried out** new strikes against Iran after the Islamic Republic launched attack drones at ships in the Strait of Hormuz. **A6**
- ◆ **Trump said Iran** was miscalculating if it thought he would soften his position to avoid a prolonged armed standoff with Tehran. **A6**
- ◆ **Iran's battered economy** has become the critical pressure point for its leaders in negotiations with the U.S. **A7**
- ◆ **The Trump administration** is pursuing funding deals with drone companies to boost domestic production. **A4**
- ◆ **Two people died** and nine others were missing after a chemical tank collapsed in Longview, Wash., and officials said there was no hope of finding additional survivors. **A3**
- ◆ **State lawmakers** approved a tax on luxury second homes in New York City on the urging of Mayor Mamdani. **A3**
- ◆ **Uganda closed its** border with Congo, where suspected cases of a rare type of Ebola are surging. **A9**
- ◆ **Died: Donald E. Newhouse**, 96, publishing magnate. **B4**

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New-Car Sales Slump Deepens

Vehicles sold this year expected to be a million fewer than before the pandemic

By Sharon Terlep

The U.S. auto industry faces sobering new math: Some one million prospective buyers have defected from the new-car market since the start of the decade—and they aren't expected back anytime soon.

Until recently, auto executives, analysts and economists believed U.S. new-car sales

were on a steady climb back to volumes last seen before the pandemic shuttered factories and scrambled supply chains.

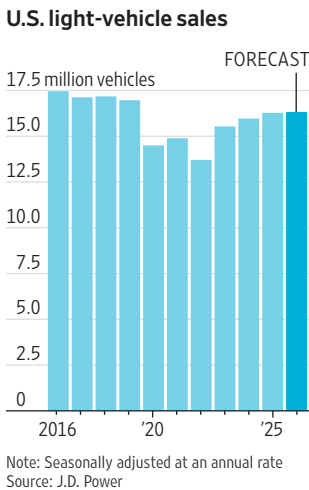
That is no longer the case. General Motors, Ford Motor, Toyota and other automakers have said they are planning for the sales of new cars to shrink or stagnate this year after consumers—stung by persistent inflation, rising fuel prices, and high interest rates—are balking at prices that have risen to around \$50,000 on average.

People in the U.S. were buying around 17 million cars and trucks a year before 2020; in-

dustry analysts don't expect the market to return to that level until the end of the decade or later. They now forecast total annual sales of about 16 million vehicles or fewer this year and that outlook has grown dimmer as the conflict in Iran keeps gas prices high.

"This is a real threat to the whole industry," said Erik Severinson, Volvo's chief commercial officer, noting the same dynamics are roiling the Euro-

◆ Ford's stock surge has little to do with car business... B1



Europe Seeks Relief From a Brutal Heat Wave



COOL YOUR JETS: Children ran in a fountain in Lyon, France, on Wednesday as the country sweltered in mid-90s temperatures amid Europe's heat wave. The heat was expected to persist Thursday and moderate in the weekend, France's weather service said.

America's Back Office Is Disappearing

Phoenix built an empire of cubicle jobs. AI is coming to tear it down.

By Konrad Putzier

PHOENIX—All around this desert city's sprawling metro area, low-rise office parks with tinted windows and vast parking lots stretch to the horizon. This is America's back office.

Abundant land and cheap labor made Phoenix a premier place for companies to stash lower-paid office workers who

don't need to be physically close to clients or headquarters. The cubicle-based jobs—customer service, data entry, payroll processing—created a vital ladder to the middle class, helping replace factory work lost to overseas competition.

Now, these white-collar jobs are fading, too, thanks to continued offshoring and, increasingly, artificial intelligence. Tens of thousands of local workers

suddenly face an uncertain future.

A test grader saw her work outsourced to India. A customer-relations manager, recently laid off and his savings running low, is looking to become a bartender. Job-placement firms that supply companies with back-office workers are seeing less demand and are cutting their own staff, too. Those

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China Tells Bosses Not to Cut Jobs Due to AI

By Hannah Miao and Raffaele Huang

BEIJING—Last summer, Chinese Vice Premier He Lifeng asked the country's biggest employers—tech companies, banks, carmakers and others—how AI could affect

their workforces.

Some companies said AI could create new jobs over the next several years, but that full implementation of the new technology could also wipe out 30% or more of their existing roles, people familiar with the situation said.

He seemed shaken by the feedback, one of the people said. Then, late last year, the Chinese government warned employers—particularly tech companies with younger workforces—not to cut jobs as they embrace AI, the people said. Spokespeople for China's

government didn't reply to requests for comment.

China's action is a bold response to fears that are mounting worldwide over the

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◆ AI data centers put poor nations in a bind..... A8

Whiskers Are On the Ballot In California

Governor's race morphs into battle over facial hair

By Zusha Elinson

PETALUMA, Calif.—Whiskers are spreading across American politics like a five o'clock shadow. In California, they could cause a seismic shift.

For the first time since the Great Depression, the state could elect a governor with facial hair. And the whiskers are playing an outsize role in an election where cost-of-living, homelessness and public safety weigh heavily on Californians.

Fans of Chad Bianco, a top Republican candidate in the race, readily admit that the

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Survivalist Community Is Tearing Itself Apart

By Joe Barrett

IGLOO, S.D.—Row upon row of concrete bunkers with steel blast doors peek up from the rolling grasslands—like hobbit holes for the apocalypse.

There are 575 of them, clustered on a former munitions depot billed as "The Largest Survival Community on Earth." The pitch: Ride out nuclear war, the next pandemic or societal collapse in relative comfort.

Yet for many residents, the dream has soured. The threat hasn't come from Armageddon, but from friction that resembles a suburban homeowners' association battle.

Lawsuits, countersuits and disputes are piling up over septic systems, property taxes, off-leash dogs and a growing list of community rules. The legal skirmishing has reached the state Supreme Court—twice. Promised amenities, in-

cluding a restaurant bunker, a pool bunker and a horse-stable bunker, have yet to materialize. Guns have been drawn, and there have been offers to settle things with fists. The developer said complaints come from a few malcontents.

"You get that many people with the same mentality in a small place like that, eventually they're going to cross over each others' lines and you're going to have a conflict," said Larry Harter, a retired locomotive engineer in nearby Edgemont. He was nursing a beer recently at the Victory Steakhouse & Lounge, where preppers from the compound sometimes turn up for dinner or a drink.

Edgemont Mayor Rheta Reagan said she was unsure whether being on the road to the complex was a boon for her city of 725. "There's a few that come into town, but for

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Trump, Democrats See Edge In Paxton Candidacy

Left finds hope in Senate race in Texas after MAGA loyalist wins primary runoff

By Ken Thomas

WASHINGTON—President Trump and Democrats rarely find themselves in alignment. Yet both sides wanted the same outcome in Tuesday's Senate primary runoff election in Texas.

Ken Paxton's trouncing of incumbent Sen. John Cornyn in the Republican runoff represents Trump's latest triumph in maintaining his grip on his MAGA base after he similarly ousted rivals in Indiana, Louisiana and Kentucky. But to the delight of Democrats, the president's decision to make an 11th-hour endorsement of Paxton could put the Senate seat in play for James Talarico after decades of Democratic futility in the Lone Star State.

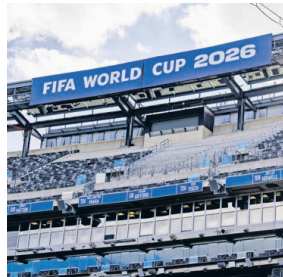
Paxton's primary showdown with Cornyn was the costliest Senate GOP primary on record, according to AdImpact, with Cornyn's forces alone spending nearly \$100 million in their attempt to defeat the Trump-endorsed state attorney general, who survived impeachment and scandal to win the runoff with nearly 64% of the vote.

Paxton's wide margin of victory showed the power of the Trump endorsement and his ability to coalesce GOP support around his favored

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◆ Trump eyes war's political effects..... A6

INSIDE



SPORTS

New York and New Jersey subpoena FIFA on World Cup ticket prices. **A16**

BUSINESS & FINANCE

Lululemon settles with founder—who agrees to stop criticizing it for 18 months. **B1**

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